Bhardwaj, Gorton, and Rouwenhorst (2013) have a paper appropriately named “Fooling Some of the People All of the Time: The Inefficient Performance and Persistence of Commodity Trading Advisors.” They found using the equal-weighted performance of the Lipper-TASS database of 930 commodity trading advisors (CTAs), after adjusting for survivorship and backfill bias, that CTA excess returns to investors over U.S. Treasury bills averaged only 1.8% per year from 1994 through 2012 (see Figure 5.7).[16] This was not significantly different from zero.

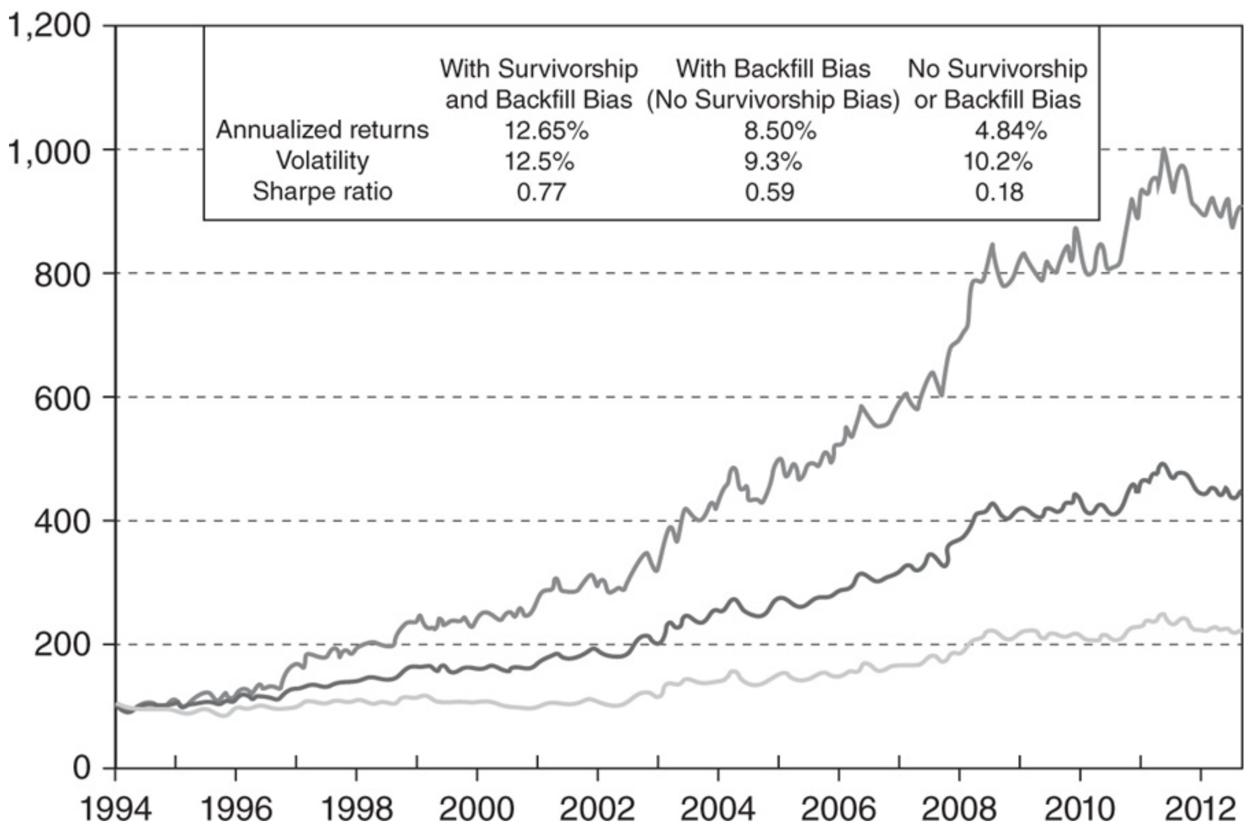

Figure 5.7 Commodity Trading Advisor Performance, 1994–2012

(Source: Bhardwaj, Gorton, and Rouwenhorst)

As with other hedge funds, CTA fees are often 2% of assets and 20% of profits each year. During this period, aggregate CTA fees averaged 4.3% per year, which was more than twice what investors received. Investors had earned returns not much greater than Treasury bills while taking on volatility equal to equities. Bhardwaj et al. (2013) concluded that interest in managed futures has remained strong because investors’ experience of poor